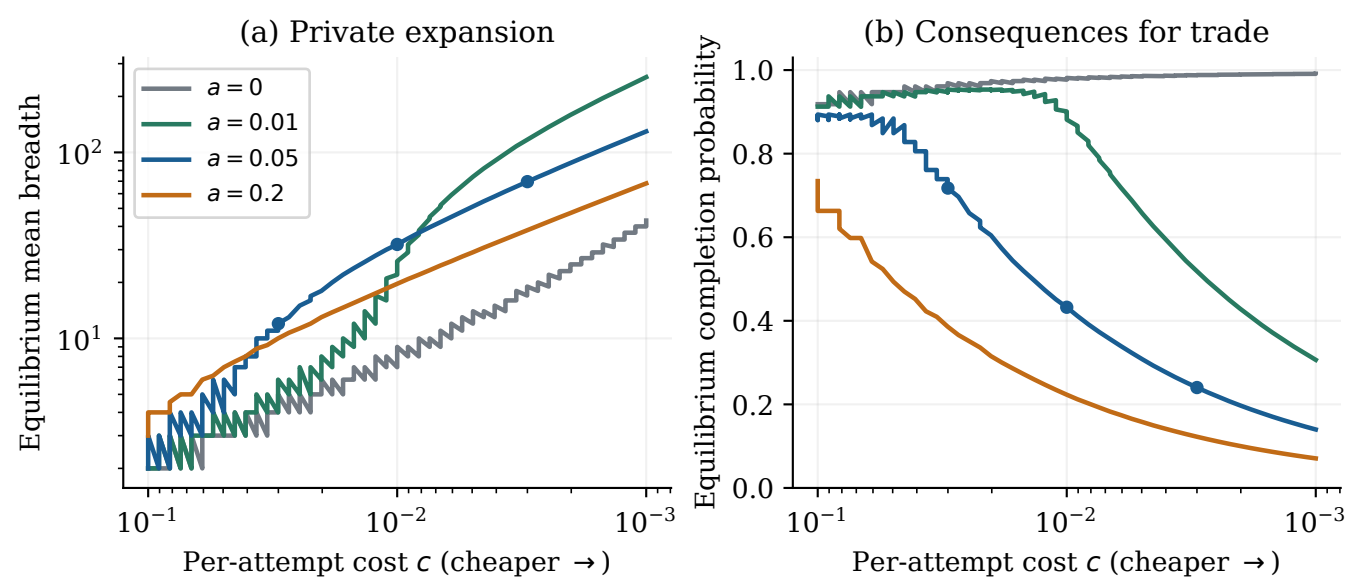
(a) Private expansion
Equilibrium mean breadth
10^2
10^1
$a = 0$
$a = 0.01$
$a = 0.05$
$a = 0.2$
10^{-1}
10^{-2}
10^{-3}
Per-attempt cost c (cheaper →)
(b) Consequences for trade
Equilibrium completion probability
1.0
0.8
0.6
0.4
0.2
0.0
10^{-1}
10^{-2}
10^{-3}
Per-attempt cost c (cheaper →)